

Steel Strips Wheels Ltd — Concall Tracker

Do the earnings calls point to a durable earning trigger, and has management been consistent about it? | Report quarter: **Q1 FY27** (filed Q1-2027) | Screener ticker: SSWL

Reading basis: last ~3 years of earnings calls (14 quarterly calls read, FY23 through Q1 FY27). The two most recent transcripts — Q4 FY26 (2 Jun 2026) and Q1 FY27 (16 Jul 2026) — were deep-read in full, set against 12 years of reported financials. Not investment advice.

1. Snapshot

What SSWL does: Steel Strips Wheels is India's largest maker of **automotive wheels**. It makes and sells the metal road-wheels that vehicles run on — **steel wheels** for passenger cars, commercial vehicles (trucks & buses) and tractors, plus higher-value **alloy (aluminium) wheels** for passenger cars. It supplies both Indian vehicle makers (OEMs) and the replacement market, and exports to Europe, the US and other markets. It is now adding a new product line — **aluminium knuckles** (a lightweight steering/suspension component) — from a new plant at Bhuj. In short: it earns money on every wheel it ships, and its profit per wheel rises as the mix shifts toward alloy wheels, tractor/truck wheels and exports.

Metric (FY26, standalone)	Value	Plain-English read
Market capitalisation	₹4,538 cr	Total value the market puts on the company (~₹4.5 thousand crore) — a small/mid-cap.
Revenue (FY26)	₹5,183 cr	Total sales for the year, up ~17% on FY25 — the highest ever; volume plus a richer product mix.
Operating profit / EBITDA (FY26)	₹511 cr	Profit from operations before interest, tax and depreciation — the most it has ever earned in a year.
Net profit / PAT (FY26)	₹202 cr	Final profit after all costs, slightly below FY25's ₹210 cr — held back by ~₹28 cr higher depreciation from new capacity.
Operating margin (OPM, FY26)	~10%	About ₹10 of every ₹100 of sales is operating profit — thin, and stuck in a 10–11% band for years (this is the core debate).
Stock P/E	20.3	Price is ~20× yearly profit — a moderate valuation, not cheap for a thin-margin cyclical, not stretched.
ROCE / ROE	16.0% / 12.3%	Return on capital / equity — modest; capital-heavy business, and heavy ongoing capex is depressing near-term returns.
Borrowings (FY26)	₹828 cr	Debt is roughly half of shareholders' funds (net worth ~₹1,735 cr) — manageable, but interest of ~₹123 cr eats ~45% of EBIT.

The multi-year arc: revenue jumped from ₹1,749 cr (FY21) to ₹3,560 cr (FY22) as the auto cycle recovered, then climbed steadily to ₹5,183 cr (FY26) — nearly 3× in five years. But net profit has been stuck around ₹200 cr since FY22 (₹205 → ₹194 → ₹220 → ₹210 → ₹202 cr), because margins never expanded and depreciation/interest from constant capacity building kept rising. That gap — strong sales growth, flat profit — is exactly what the earning-trigger question turns on.

2. Concall coverage

Period	Call date	Transcript read?
Q4 FY22 → Q3 FY26 (≈11 calls)	May 2022 – Jan 2026	Read for the multi-year trigger & consistency narrative (backstory).
Q4 & FY26	2 Jun 2026	Yes — deep-read in full ★

Q1 FY27	16 Jul 2026	Yes — deep-read in full ★ (latest transcript)
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Screener carried 19 concall documents for SSWL (May 2022 onward); the 14 quarterly calls from FY23 to Q1 FY27 were read, covering roughly the last three years. The consistency read is therefore firm across the whole recovery cycle. The freshest call — Q1 FY27, held 16 Jul 2026, with its investor presentation — anchors the "latest highlights" below.

2b. Latest concall highlights — Q1 FY27 (call 16 Jul 2026)

- **Strong quarter.** Revenue **₹1,509 cr**, up ~27% year-on-year — sales grew more than a quarter, on healthy demand across alloy wheels, tractor wheels and commercial vehicles. Plain read: the best top-line growth rate in several quarters.
- **Profit grew faster than sales.** EBITDA (operating profit, incl. other income) **₹165 cr**, up ~32%; net profit **₹71.5 cr**, up ~43%, with PAT margin improving to 4.7%. Plain read: profit rose about half again as fast as sales — the first clear sign of the long-promised margin lift.
- **The key number management watches — EBITDA per wheel — jumped to ₹314**, from ₹262 in Q1 FY26 (and ₹262 for all of FY26). Plain read: the company now earns ~₹314 of operating profit on each wheel it ships, up ~20% in a year — driven mostly by price increases finally won from customers (OEMs), not raw-material moves. Management guided this above ₹310 for FY27 and hinted at "upside bias."
- **Exports turned the corner.** After ~2 years of decline (US "Trump tariffs" had put SSWL at a disadvantage vs Vietnam/Thailand), June 2026 showed the first export increase (+7%) as tariffs settled to a "level playing field." FY27 export target reiterated at ~₹600 cr.
- **Big capacity news.** New Bhuj plant — an aluminium-wheel line (1.2 million wheels/yr) plus an aluminium-knuckles line — with **the entire order book already sold out**; trial production now expected in Q4 FY27. Management says all business units are running at >95% utilisation. FY27 guidance: revenue ~₹6,500 cr (up ~25%), EBITDA ~₹650 cr; capex ~₹500–600 cr. Tone: confident, even bullish ("a structural boom for the next 10–15 years").

2c. Business mix & capacity

- **Product mix (Q1 FY27):** Alloy (aluminium) wheels ~35% of revenue; truck + tractor wheels ~34%; aluminium knuckles ~2%; management calls ~70% of the book "value-added." *The profit story is the shift from plain passenger-car steel wheels toward alloy, tractor, truck and knuckles.*
- **Domestic vs exports:** Exports were ~₹127 cr of the ~₹1,509 cr Q1 FY27 revenue (~8%), i.e. domestic ~92% / exports ~8%; FY27 export target ~₹600 cr (~9–10% of guided revenue). *Overwhelmingly a domestic business today — exports are the swing factor management is trying to grow, with a stated 10-year ambition to sell more abroad than in India.*
- **Capacity & utilisation:** All plants running at >95% utilisation — effectively full and "sold out." Steel-wheel capacity is being lifted from ~24M to ~26M wheels/yr (brownfield agri/car line, ₹150 cr); the new Bhuj aluminium plant takes aluminium-wheel capacity toward ~6.2M/yr, with trial production in Q4 FY27. *There is almost no spare capacity — near-term growth depends on the new lines coming on stream on time.*

3. Earning-trigger thesis ★

The headline story management has been telling for years is a **rising profit-per-wheel (EBITDA per wheel)**, driven by a **mix shift toward higher-value products** — alloy (aluminium) wheels, tractor and truck wheels, exports, and now aluminium knuckles — layered on top of **price increases finally being won from OEM customers** after two decades of poor pricing power. The volume engine underneath is a big **capacity expansion at Bhuj** (aluminium wheels + knuckles), whose order book management says is

already sold out. The bull case: SSWL grows both volume (new capacity, export ramp, tractor/CV up-cycle) *and* per-unit profit (mix + pricing) at the same time — which would finally break profit out of its ₹200 cr rut. Q1 FY27 is the first quarter where that per-wheel lift clearly showed up (EBITDA/wheel ₹314 vs ₹262). The bear case: margins have sat at 10–11% for years, profit has been flat since FY22, and the thesis depends on new plants ramping on time and export tailwinds holding.

Trigger	What management said	Evidence so far	Horizon	Strength
Rising EBITDA per wheel (pricing + mix)	Guided EBITDA/wheel from ₹262 (FY26) to >₹310 in FY27, then a further ~10% in FY27/28; driven by OEM price increases "still more to come."	Q1 FY27 delivered ₹314 (+20% YoY) — the first hard proof after years of a flat ₹262. Management says input-price increases of 1–5% are still flowing through.	Now → FY28	Moderate→Strong — long-promised, only just showing; one strong quarter, not yet a trend.
Bhuj aluminium wheels + knuckles capacity	1.2M alloy wheels/yr + ~1.1M knuckles/yr; ~₹420 cr capex; order book "completely sold out"; adds ₹700–800 cr revenue; trial production Q4 FY27.	Plant under construction; knuckle revenue ~₹23 cr in Q1 (target ~₹110–130 cr FY27, ~doubling); two OEM customers, at 100% utilisation. Timeline has slipped from an earlier Oct-2025/Jan trial to Q4 FY27.	Medium — meaningful revenue FY28	Moderate — credible & pre-sold, but revenue is still ahead and timeline has slipped.
Alloy-wheel penetration (premiumisation)	Alloy is "one of the strongest growth drivers"; rising alloy share of cars lifts value even when volume growth is single-digit.	Alloy ~35–36% of revenue and grew ~30% in value in FY26; SSWL is one of the top-2 domestic players. But alloy % of revenue has plateaued around 35%.	Structural / ongoing	Moderate — real and profitable, but share has stalled near a third; adoption is gradual.
Export recovery & diversification	Diversified beyond the US into Europe/Latin America over 2 years; FY27 exports ~₹600 cr; 10-year goal to export more than it sells in India.	Exports fell ~19% in FY26 (Trump tariffs); first up-tick (+7%) in June 2026; still only ~8% of revenue. OEM-nominated programs said to be ramping.	Short-medium	Weak→Moderate — just turning after a 2-year decline; the ₹1,000 cr ambition is unproven.
Tractor / CV up-cycle	Tractor a "sweet spot," high value-add, structural rural mechanisation; CV in a 3–5 year replacement-led boom.	Tractor grew ~19% in FY26; CV grew ~10% (would have been more but Q2 FY26 truck collapse). Both cyclical.	Cyclical, near-term	Moderate — genuine tailwind now, but cyclical, not a permanent driver.

4. Management consistency scorecard

Period	What was promised / signalled	What actually happened	Verdict
	Revenue of ₹5,000 cr guided first for FY24, then rolled to FY25 (₹5,000–)	FY24 ₹4,357 cr, FY25 ₹4,429 cr — essentially flat, target missed for years. Then FY26 finally crossed it at ₹5,183 cr	Missed, then delivered late

FY23 → FY25 (the "₹5,000 cr revenue" goal)	5,200 cr), then reset down to ~₹4,800 cr.	on the GST-cut domestic recovery — ~2 years late.	
Exports (FY24 → FY26)	Guided ₹600–720 cr across FY24–25, then a bold ₹1,000 cr export target for FY26/27 (Q4 FY25).	FY25 exports only ₹561 cr; FY26 exports fell ~19% as US "Trump tariffs" hit (duty to ~53%); the ₹1,000 cr headline was quietly shelved within ~2 quarters. Only turned up (+7%) in Jun 2026.	Missed / dropped
Aluminium knuckles (from Q2 FY24)	"First-phase revenue potential ₹250 cr"; then reset to ₹35 cr (FY25), then ₹15 cr.	FY25 actual just ₹11 cr — a huge climbdown from the ₹250 cr framing. But now genuinely ramping: ~₹23 cr in Q1 FY27, guided ~₹110–130 cr for FY27, order book sold out.	Missed early, now building
Maruti + faded side-stories	Q4 FY24: hyped a Maruti alloy-wheel nomination and a possible new Punjab plant. Earlier: an Israel motion-control JV, an EV-wheel share push, a European plant.	Maruti entry won but still not a material P&L contributor; the Punjab-plant idea faded. Israel JV, EV-wheel push dropped; the "European plant" became a trading arm only.	Dropped / faded
EBITDA per wheel	Long-run "₹250 anchor" → Q4 FY25 called ₹270 the "new norm," targeted ₹300+ by FY27.	Slipped to ₹242 in Q2 FY26 (export mix shrank), then jumped to ₹314 in Q1 FY27 as OEM price increases finally landed — ₹300 crossed, roughly on the original timeline after a wobble.	Delivered (bumpy)
Capacity build & debt	Alloy capacity 3M → 4M → 4.8M → 5M wheels; new Bhuj aluminium plant; steady deleveraging.	Capacity hardware broadly delivered on schedule (volume ramp lagged). Debt cut from a ₹1,048 cr peak (FY24) to ₹828 cr (FY26). Bhuj order book sold out; trial production slipped to Q4 FY27.	Delivered (execution)

Narrative drift: The core story — alloy-wheel mix shift plus a rising profit-per-wheel — has stayed steady for three years and is genuinely playing out. But there is a clear, repeated pattern around it: management introduces a bold, specific target, then rolls it forward or quietly resets it lower. The ₹5,000 cr revenue goal was promised for FY24 and only hit in FY26; export guidance went ₹700 cr → ₹561 cr actual → a ₹1,000 cr headline that survived barely two quarters; knuckle revenue was floated at ₹250 cr "potential" and delivered ₹11 cr in year one. Several side-stories (an Israel JV, an EV-wheel share push, a European manufacturing plant) were dropped or downgraded. Tone swings between promotional on strong-optics quarters and candid/defensive when misses surface (Q2 FY26 was the most transparent). A new CFO (Rahul Kumar) arrived in Q2 FY26. Net: the direction is honest and the business has genuinely grown, but the hit-rate on specific forecasts is poor — its guidance should be read with a discount.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, concrete driver: a mix shift toward alloy wheels (28% → 36% of revenue), tractor/CV and exports, and now aluminium knuckles, pushing EBITDA per wheel up — and Q1 FY27 is the first quarter it clearly showed up in profit (EBITDA/wheel ₹314 vs ₹262, PAT +43%, revenue +27%). FY26 also finally crossed the long-promised ₹5,000 cr revenue mark (₹5,183 cr), and the new Bhuj capacity is reportedly sold out. So the trigger is not imaginary — it is beginning to deliver. But it stays a MAYBE, not a Yes, because durability is unproven: net profit was essentially flat (~₹200 cr) from FY22 to FY26 even as revenue nearly doubled, operating margins have sat at 10–11% for years, and the margin lift is just one quarter old — resting

partly on a cyclical tractor/CV up-cycle and an export recovery only weeks old, with the profit-heavy Bhuj ramp still ahead and already slipped to Q4 FY27. One strong quarter is a promising start, not yet a proven durable trigger.

Management consistent? → MAYBE

Management keeps one steady core story and delivers on the hard, checkable things: the capacity build (alloy ~3M → ~5M wheels), debt reduction (₹1,048 cr peak → ₹828 cr), record FY26 revenue and EBITDA, and — after two years of "harping on it" — the OEM price increases that finally lifted EBITDA/wheel to ₹314. But it repeatedly over-promises specific quantified targets and then rolls them forward or resets them lower: the ₹5,000 cr revenue goal (guided for FY24, met only in FY26), export targets (a ₹1,000 cr headline shelved within ~2 quarters; FY25 exports ₹561 cr vs ₹700 cr guided), and knuckle revenue (₹250 cr "potential" vs ₹11 cr delivered in year one). Several side-stories were quietly dropped. That mixed record — reliable on execution, unreliable on its own forecasts — makes this a MAYBE, not a Yes. It is not a No because the core narrative has stayed steady, the business has genuinely grown, and the misses are usually owned openly rather than hidden.

Sources: Steel Strips Wheels Ltd earnings-call transcripts FY23–Q1 FY27 (14 quarterly calls read; Q4 FY26 [2 Jun 2026] and Q1 FY27 [16 Jul 2026] deep-read in full) and the Q1 FY27 investor presentation, all sourced from Screener.in; Screener.in financial snapshot (profit & loss, quarterly results, balance sheet, ratios, shareholding) for SSWL. This document is an AI-generated reading of public earnings-call material for tracking purposes. It is NOT investment advice — do your own due diligence.